

drop, growth could take off even more, resulting not only in better than expected increments but also better than expected equity returns.

The reverse could happen. At a personal level, you could do really well or really badly. You could have a healthy life or you could battle some life-threatening disease that upsets your money calculations. There is no way we can predict the future; the only thing we know is what we do today. Based on that we can make projections for what we need tomorrow.

I've assumed an inflation of 6 per cent all along, before and after your retirement. Post retirement, I use a very conservative 8 per cent return on your investment.

How should you use this rule of thumb? First, remember that this is a rule of thumb. This means that it is an approximation of what you will actually need. For instance, if you plan to work beyond sixty, the corpus needed will shrink. If you have other sources of post-retirement income, say rental income, the corpus needed is less.

Retirement milestones

Five, ten, fifteen, twenty years – it is a long way off. We can begin on a plan, but how do we know that we are on track? If the goal is to have enough at age sixty, is there another rule of thumb that can help us map our progress as we age? Fidelity Investments has a retirement guideline out that maps the journey of the retirement corpus over the years.

At age forty, you should have three times your annual income as your retirement corpus already. If you earn Rs 15 lakhs a year at age forty, you should have Rs 45 lakhs in your retirement corpus. ***At fifty, you should have six times your annual income.*** If you have an annual income of Rs 40 lakhs at age fifty, you should already have Rs 2.4 crores in your corpus. ***At age sixty, or at retirement, you should have eight times your annual salary.*** Earning a crore at sixty, you must have Rs 8 crores as corpus.

The Fidelity numbers assume a US scenario with social security and other benefits, but the multipliers roughly work out to a rule of thumb for India as well.